



USER MANUAL

Financial Ratio Analysis Tool

A complete guide to uploading, reviewing, analysing
and reporting on financial statements

Written for first-time users, by the person who built the tool
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CHAPTER 1

Welcome

This manual is a complete, plain-English walkthrough of the Financial Ratio Analysis Tool, written for someone opening it for the very first time. It assumes no prior familiarity with the application, and only a working knowledge of basic accounting terms such as revenue, profit and equity. Read it from cover to cover before your first upload, or keep it to one side and jump to the chapter that matches whatever screen you happen to be looking at.

The tool itself does one job well: it takes a company's financial statements, in whatever format they happen to be in, and turns them into a full set of financial ratios, a plain-English interpretation of each one, and a polished PDF report that is ready to hand to a client, a manager, or a lender. What used to take an analyst the better part of an afternoon, recalculating the same eighteen ratios by hand for every new set of accounts, now takes a few minutes.

Who this is for

The tool is built around three kinds of user, and this manual speaks to all three. An accounting or finance professional will use it to save time on a mechanical first pass through a set of accounts, leaving the judgement calls to their own expertise. A student or someone newer to the subject can use it to see how the standard ratios are actually calculated and what a healthy or a concerning number tends to look like. A business owner or manager can use it to get a clear read on their own company's position, or a competitor's, without needing to remember a single formula.

How the tool is organised

Everything happens across six pages, reached from the navigation bar along the top of the screen: Home, Ratio Analysis, Company Comparison, Financial Report, Methodology and About. Home is where a statement is uploaded and its figures reviewed. Ratio Analysis is where those figures become ratios, with plain-English commentary. Company Comparison sits a second company alongside the first. Financial Report turns all of it into a downloadable PDF. Methodology is a reference page listing every formula used. About explains who built the tool and how to get in touch. Each of these has its own chapter ahead.

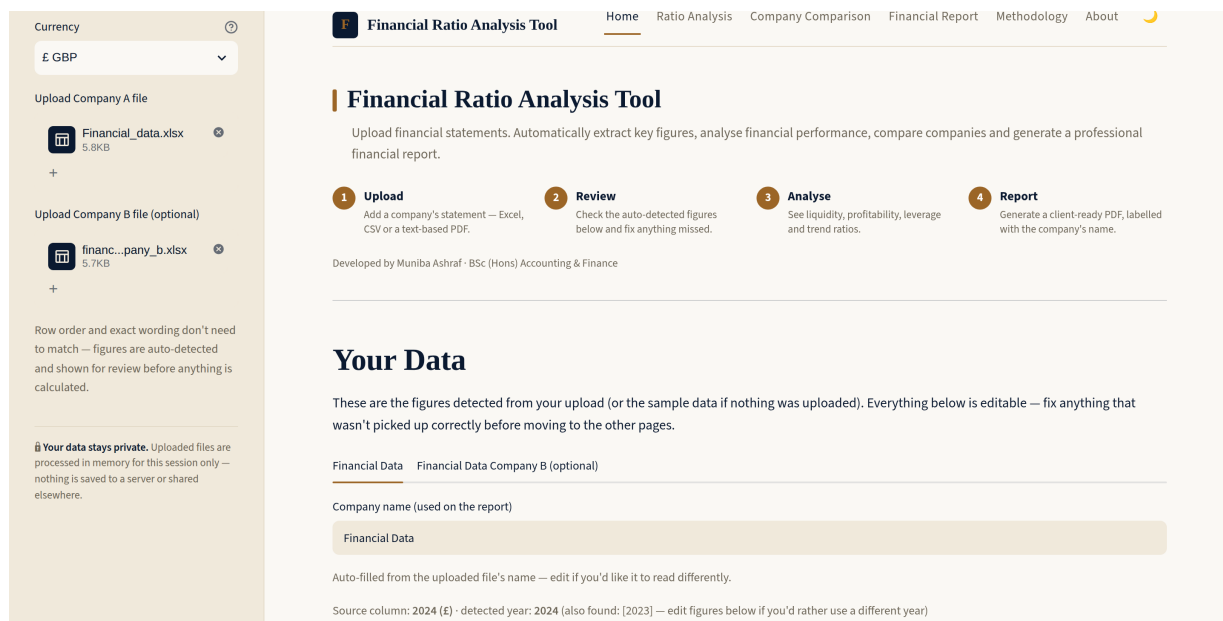
A NOTE ON JUDGEMENT

The tool calculates faster and more consistently than doing it by hand, but it does not replace professional judgement. A ratio on its own cannot tell you whether a company is healthy; it needs to be read alongside the trend over time, the norms for that particular industry, and the wider context a set of numbers can never fully capture. Every reading in this tool is written with that caveat built in, and this manual carries the same spirit throughout.

CHAPTER 2

A Quick Tour of the Screen

Before working through a real upload, it helps to know where everything lives. The screen is divided into two parts: a narrow sidebar on the left, present on every page, and a wider main area on the right, whose content changes depending on which page is selected.



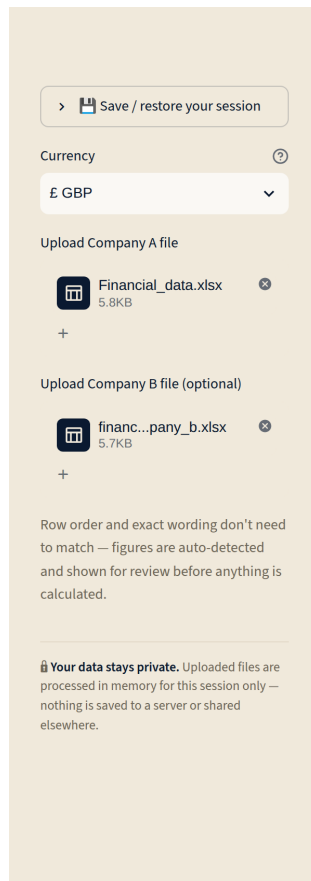
The Home page, showing the top navigation bar, the sidebar, and the four-step overview.

The top navigation bar

Along the top sits the tool's name next to a small navy-and-gold monogram, and six tabs: Home, Ratio Analysis, Company Comparison, Financial Report, Methodology and About. Clicking a tab switches pages instantly; the currently open page is underlined in gold. At the far right of that same bar is a small circular button, a crescent moon in light mode or a sun in dark mode, which switches the whole application between a light, ivory colour scheme and a dark navy one. Both are designed to the same brand and are equally easy to read; which one to use is purely a matter of preference or lighting conditions.

The sidebar

The sidebar is where a session begins and where its settings live. From top to bottom it holds: a Save / restore your session panel, a currency selector, an Upload Company A file box, an Upload Company B file (optional) box, a short note on how upload matching works, and a privacy reminder. Every one of these is covered in detail in the chapters that follow; Chapter 3 begins with the two upload boxes, Chapter 10 covers currency, and Chapter 11 covers saving and restoring a session.



The sidebar, present on every page.

NO INSTALLATION, NO ACCOUNT

There is nothing to install and nothing to sign up for. Everything runs in the browser, and a company's figures are held only in that browser session, never written to a server or shared anywhere else. Closing the tab clears everything, which is exactly why the Save / restore feature in Chapter 11 is worth knowing about before a long editing session.

CHAPTER 3

Uploading Your Financial Statements

Everything begins on the Home page, with the two upload boxes in the sidebar: Upload Company A file and Upload Company B file (optional). Company A is required; it is whichever company is being analysed on its own. Company B is optional and is only needed if a side-by-side comparison is wanted later, on the Company Comparison page.

What file formats are accepted

Both boxes accept Excel workbooks (.xlsx or .xls), CSV files (.csv) and PDF statements (.pdf). A workbook can contain a Profit and Loss statement, a Balance Sheet, or both together on one sheet; the tool reads whatever labels and figures it finds and works out which line is which. There is no fixed template to follow and no required column order. A statement copied directly out of accounting software, or typed up in a plain spreadsheet, will generally work without any reformatting.

Row order and wording do not need to match

This is worth stating plainly, because it is the single most useful thing to know before a first upload: the tool does not expect an exact line-item wording, and it does not expect the rows to be in any particular order. It recognises a wide vocabulary of common accounting terms and their everyday variants, so a row labelled Turnover, Sales Revenue or simply Revenue will all be read the same way, and a row labelled Profit After Tax will be read the same way as Net Profit. Company A and Company B do not need to use the same wording as each other either; each file is matched independently.

IF A FIGURE LOOKS WRONG AFTER UPLOAD

Every detected figure is shown for review on the Home page before any ratio is calculated, together with a short note on how confidently it was matched. Chapter 4 explains that review screen in full, including how to correct a figure by hand if the automatic match ever picks up the wrong row.

A note on file size and privacy

There is no meaningful file size limit for a normal set of accounts; a typical annual statement, even with several years of comparatives on one sheet, uploads in a second or two. As the sidebar's privacy note states, an uploaded file is only ever held in that browser session, never saved to a server or shared with anyone. Closing the tab clears it completely.

CHAPTER 4

Reviewing and Correcting Your Data

The moment a file finishes uploading, the Home page fills in below the upload boxes with everything the tool detected, laid out for a quick check before anything is calculated. This review step is deliberately placed before the ratios rather than after, so that a mismatched figure can be caught and fixed at the source, rather than discovered later in a ratio that looks wrong.

The screenshot shows a 'Data review screen' with the following elements:

- Company name (used on the report):** A text field containing 'Financial Data'.
- Auto-filled from the uploaded file's name — edit if you'd like it to read differently.**
- Source column: 2024 (£) · detected year: 2024 (also found: [2023] — edit figures below if you'd rather use a different year)**
- Data Quality Check — 15/15 figures detected automatically (8/8 core)** (indicated by a green checkmark).
- INCOME STATEMENT**
 - Revenue:** 5000000.00 (with minus and plus buttons).
 - Cost of Sales:** 3000000.00 (with minus and plus buttons).
 - Gross Profit:** 2000000.00 (with minus and plus buttons).
 - Operating Profit (EBIT) (optional):** 1000000.00 (with minus and plus buttons).
 - Net Profit:** 650000.00 (with minus and plus buttons).
 - Interest Expense (optional):** 100000.00 (with minus and plus buttons).
- Matched "Sales Revenue" (100% confidence)**, **Matched "Cost of Sales" (100% confidence)**, **Matched "Gross Profit" (100% confidence)**, **Matched "Operating Profit (EBIT)" (90% confidence)**, **Matched "Profit for the Year" (100% confidence)**, and **Matched "Finance Costs" (100% confidence)**.
- CURRENT ASSETS & LIABILITIES**
 - Current Assets:** (empty field).
 - Inventory (optional):** (empty field).

The data review screen, showing the company name field and each detected figure.

Company name and source

At the top of the review is a company name field, pre-filled from the uploaded file where possible and editable at any time; whatever is entered here is what appears on every chart, table and the final PDF report. Beneath it, the tool shows which column of the source file each year's figures were read from, and which financial year each column was matched to, so it is easy to confirm at a glance that the right year is being analysed, particularly on a file with several years side by side.

The Data Quality Check

A short scorecard summarises how many of the expected line items were found in the uploaded file. A high score means the statement was detected cleanly and every ratio can be calculated in full; a lower score is not an error as such, but a signal that the source file was missing one or more line items outright, in which case any ratio that depends on a missing figure is shown as unavailable rather than guessed at. The tool never estimates a missing number; it either finds it in the file or leaves that ratio blank with a clear explanation.

Per-field match confidence

Every individual figure, revenue, cost of sales, current assets and so on, is listed with the value the tool detected and a small caption underneath naming the row in the original file it was matched from. This caption is the fastest way to sanity-check a match: if it names the row that was expected, the figure can be trusted; if it names an unexpected row, the figure is worth a closer look.

Editing a figure by hand

Every detected figure sits in an editable field. If a match has picked up the wrong row, or a figure needs adjusting for any reason, it can be typed over directly; every ratio and every chart recalculates instantly from whatever value is currently in the field. There is no separate save step and no need to re-upload the file to make a correction.

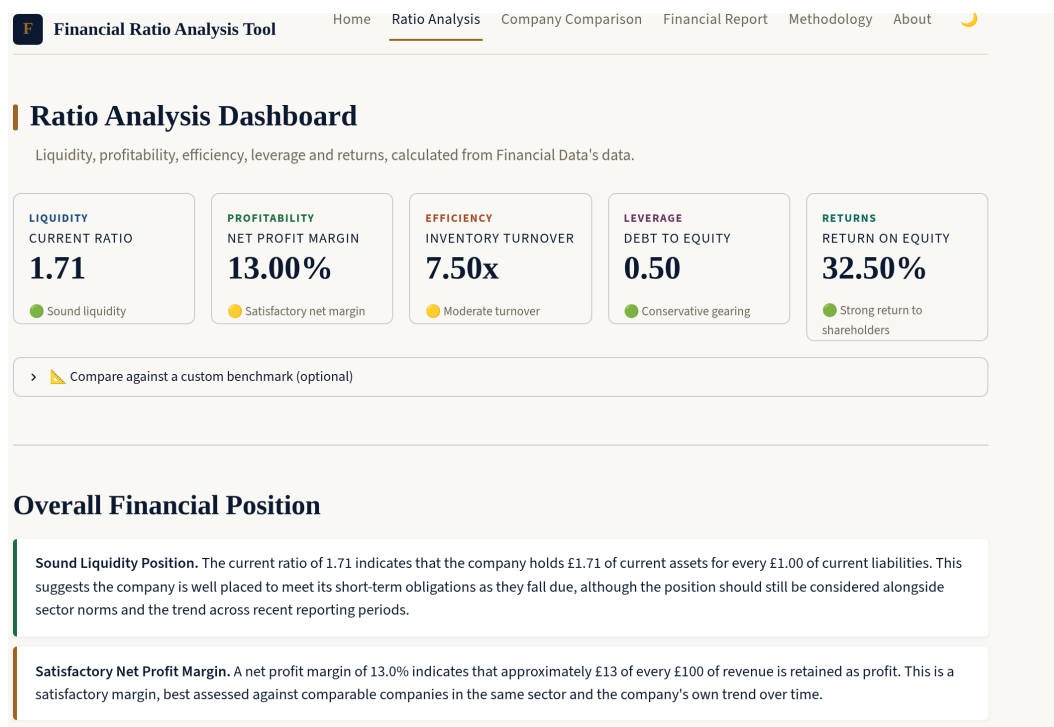
TWO FIGURES WORTH CHECKING ON FIRST USE

Net profit and total debt are the two figures most likely to need a second look on an unfamiliar template, simply because company accounts use the widest range of different wording for them. A figure labelled Profit Before Tax, for instance, is deliberately not matched to net profit, since the two mean different things; if a statement only shows a pre-tax figure, the after-tax field can be entered by hand once it is known.

CHAPTER 5

The Ratio Analysis Dashboard

Once a file has been uploaded and reviewed, the Ratio Analysis page turns those figures into a complete financial picture. It is the central page of the tool, and the one most first-time users will spend the most time on.



The Ratio Analysis page, showing the five headline category cards.

The five headline cards

At the top of the page sit five cards, one for each of the standard categories a set of accounts is judged on: Liquidity, Profitability, Efficiency, Leverage and Returns. Each card shows the category's key ratio at a glance together with a plain-English reading of what that number means for the business, written in ordinary language rather than technical shorthand.

What the colours mean

- **Green** marks a ratio that sits within a healthy, well-established range for that measure.
- **Gold** marks a ratio that is acceptable but worth keeping an eye on, neither a strength nor an immediate concern.
- **Red** marks a ratio that falls outside the typical healthy range and is worth investigating further.
- **Grey** means the ratio could not be calculated, almost always because one of the figures it depends on was not found in the uploaded file.

These same four colours are used consistently everywhere a ratio appears in the tool, on this page, in the full breakdown table further down, in the Company Comparison page, and in the PDF report, so

the colour itself becomes a fast visual shorthand once it is familiar.

Sound Liquidity Position. The current ratio of 1.71 indicates that the company holds £1.71 of current assets for every £1.00 of current liabilities. This suggests the company is well placed to meet its short-term obligations as they fall due, although the position should still be considered alongside sector norms and the trend across recent reporting periods.

Satisfactory Net Profit Margin. A net profit margin of 13.0% indicates that approximately £13 of every £100 of revenue is retained as profit. This is a satisfactory margin, best assessed against comparable companies in the same sector and the company's own trend over time.

Moderate Inventory Turnover. Inventory turns over approximately 7.5 times per year, a moderate pace best judged against typical turnover for the sector.

Conservative Gearing. The gearing (debt-to-equity) ratio of 0.50 indicates £0.50 of total debt for every £1.00 of shareholders' equity, meaning the company relies more heavily on shareholder funding than on borrowing. This is generally associated with lower financial risk, although the appropriate level of gearing varies by sector and stage of growth.

Strong Return on Equity. A return on equity of 32.5% indicates that, for every £100 of shareholders' equity, approximately £32 of profit was generated over the period. This is a strong return by general standards, although it should be weighed against the level of risk and gearing employed to achieve it.

Full Ratio Breakdown

Every ratio calculated from the figures on the Home page, grouped the way an accountant would work through a set of statements, each with a quick read alongside it. Ratios show N/A where the underlying figures weren't provided – most are optional fields not every financial statement reports. These reads are general rules of thumb, not a verdict – always worth weighing against industry norms and trends.

The Overall Financial Position narrative cards, summarising strengths and points to watch.

Overall Financial Position

Below the five category cards, a short set of narrative cards pulls the individual ratios together into an overall read on the business: what stands out as a genuine strength, and what stands out as a point worth watching. This section is written to be handed to someone with no accounting background at all and still make sense.

CHAPTER 6

Comparing Against a Custom Benchmark

By default, every ratio on the Ratio Analysis page is judged against general, widely-used thresholds for that ratio. Every industry is different, though, and a current ratio that looks strong for a supermarket chain can look weak for a software company. The Compare against a custom benchmark expander, found just above the full ratio breakdown table, lets a more precise, industry-specific comparison be set instead.

The screenshot shows the 'Financial Ratio Analysis Tool' dashboard. At the top is a navigation bar with links: Home, Ratio Analysis (active), Company Comparison, Financial Report, Methodology, and About. Below the navigation bar is the 'Ratio Analysis Dashboard' section, which includes a subtitle: 'Liquidity, profitability, efficiency, leverage and returns, calculated from Financial Data's data.' The dashboard features five ratio cards: 1. LIQUIDITY: CURRENT RATIO 1.71 (Sound liquidity). 2. PROFITABILITY: NET PROFIT MARGIN 13.00% (Satisfactory net margin). 3. EFFICIENCY: INVENTORY TURNOVER 7.50x (Moderate turnover). 4. LEVERAGE: DEBT TO EQUITY 0.50 (Conservative gearing). 5. RETURNS: RETURN ON EQUITY 32.50% (Strong return to shareholders). Below these cards is an expander titled 'Compare against a custom benchmark (optional)'. It contains a text field for entering comparison figures and five benchmark input fields: Current Ratio benchmark, Net Profit Margin benchmark, Inventory Turnover benchmark, Debt to Equity benchmark, and Return on Equity benchmark. Each benchmark field has a 'Not set' button and a range selector (- +). Below the expander is the 'Overall Financial Position' section, which states: 'Sound Liquidity Position. The current ratio of 1.71 indicates that the company holds £1.71 of current assets for every £1.00 of current liabilities. This'.

Category	Ratio	Value	Commentary
Liquidity	Current Ratio	1.71	Sound liquidity
Profitability	Net Profit Margin	13.00%	Satisfactory net margin
Efficiency	Inventory Turnover	7.50x	Moderate turnover
Leverage	Debt to Equity	0.50	Conservative gearing
Returns	Return on Equity	32.50%	Strong return to shareholders

Overall Financial Position

Sound Liquidity Position. The current ratio of 1.71 indicates that the company holds £1.71 of current assets for every £1.00 of current liabilities. This

The custom benchmark expander, open and ready for industry-specific figures to be entered.

How to use it

Opening the expander reveals a field for each major ratio. Entering a known industry-average figure, from a trade body's published data, an auditor's benchmarking report, or any other reliable source, causes that ratio's colour and commentary on the page above to be judged against the entered figure instead of the tool's general default. Leaving a field blank simply keeps the default threshold for that one ratio, so only the benchmarks that are actually known need to be filled in.

ONLY ENTER FIGURES FROM A SOURCE THAT CAN BE TRUSTED

The tool does not supply industry-benchmark figures of its own, and does not look them up automatically; every number in this expander comes from whatever is typed in. Getting a meaningful comparison out of this feature depends entirely on the quality of the benchmark data put into it.

CHAPTER 7

The Full Ratio Breakdown and Charts

Beneath the headline cards sits the full ratio breakdown, a single table listing every ratio the tool calculates, not only the five headline figures, together with its value for each year present in the uploaded file and the same green, gold, red or grey colour coding used throughout the tool.

Every ratio calculated from the figures on the Home page, grouped the way an accountant would work through a set of statements, each with a quick read alongside it. Ratios show N/A where the underlying figures weren't provided — most are optional fields not every financial statement reports. These reads are general rules of thumb, not a verdict — always worth weighing against industry norms and trends.

LIQUIDITY		
Ratio	Financial Data	Read
Current Ratio	1.71	● Sound liquidity
Quick Ratio (Acid-Test)	1.14	● Sound position independent of stock
Cash Ratio	0.43	● Modest cash buffer
Working Capital	£500,000	● Context-dependent: compare against prior periods or sector norms

PROFITABILITY		
Ratio	Financial Data	Read
Gross Profit Margin	40.00%	● Satisfactory gross margin
Operating Profit Margin	20.00%	● Strong operating margin
Net Profit Margin	13.00%	● Satisfactory net margin

EFFICIENCY		
Ratio	Financial Data	Read
Debtor (Receivables) Turnover	10.00x	● Collects receivables promptly
Debtor Days	36.5 days	● Typical collection period
Inventory Turnover	7.50x	● Moderate turnover

The full ratio breakdown table, listing every calculated ratio by year.

Reading the multi-year trend

Where a statement contains more than one year of figures, the breakdown table lays each year in its own column, so an improving or worsening trend is visible at a glance without needing to compare numbers across separate screens. A single ratio in isolation says relatively little; the same ratio moving in a clear direction over two or three years is usually far more informative, and this table is built to make that movement easy to see.

The charts

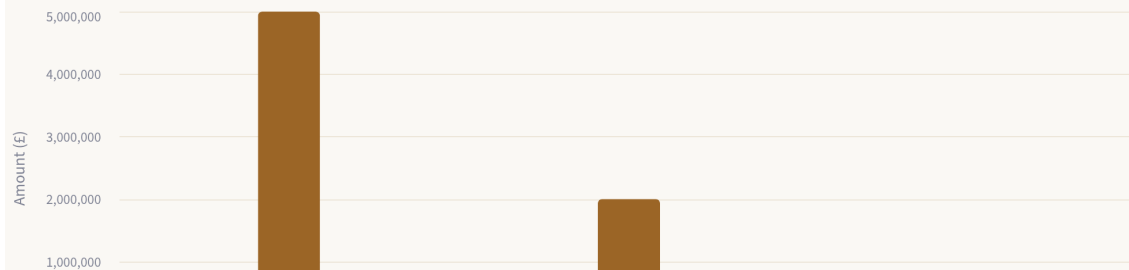
Below the table, the same figures are plotted as charts, giving a visual read on the trend that complements the table above it. The financial performance chart tracks the core profit and loss figures, revenue, gross profit, operating profit and net profit, across every year available, making it easy to see at a glance whether growth in revenue is translating into growth in profit, or whether margins are being squeezed even as sales rise.

Financial Performance

Choose a chart

Revenue vs Profit

☒ Chart ☐ Table



The Financial Performance chart, tracking revenue and profit across the years in the uploaded file.

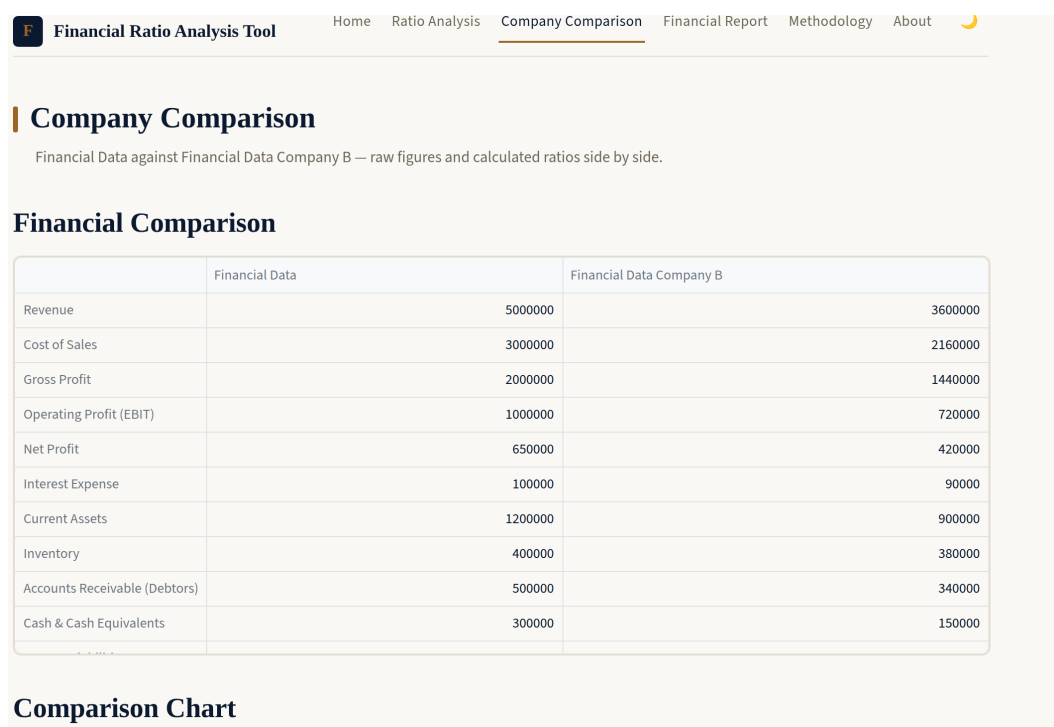
A SINGLE YEAR OF DATA IS STILL FULLY USABLE

None of this depends on having multiple years uploaded. A single year's statement still produces the full set of ratios and the full colour-coded commentary; the multi-year trend view and charts simply add an extra layer of insight when more than one year is available.

CHAPTER 8

Comparing Two Companies

Whenever a second file has been uploaded into the Company B box, the Company Comparison page becomes available from the top navigation bar. It places both companies' figures and ratios side by side, making it straightforward to see, for example, how one competitor's profitability stacks up against another's, or how a business compares to its own prior owner's figures after an acquisition.



Financial Ratio Analysis Tool Home Ratio Analysis Company Comparison Financial Report Methodology About

Company Comparison

Financial Data against Financial Data Company B — raw figures and calculated ratios side by side.

Financial Comparison

	Financial Data	Financial Data Company B
Revenue	5000000	3600000
Cost of Sales	3000000	2160000
Gross Profit	2000000	1440000
Operating Profit (EBIT)	1000000	720000
Net Profit	650000	420000
Interest Expense	100000	90000
Current Assets	1200000	900000
Inventory	400000	380000
Accounts Receivable (Debtors)	500000	340000
Cash & Cash Equivalents	300000	150000

Comparison Chart

The Company Comparison page, showing both companies' ratios side by side.

What is shown

The page mirrors the structure of the Ratio Analysis page, but with every figure, every ratio and every piece of commentary duplicated for both companies and placed next to each other. The same green, gold, red and grey colour coding applies to each company independently, so it is possible for one company to show green on a ratio where the other shows red on the very same measure.

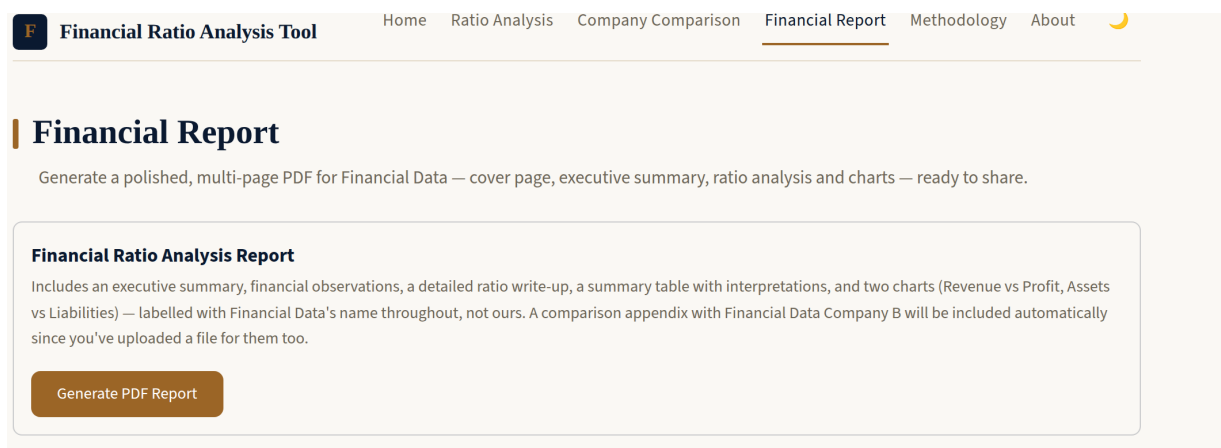
If Company B has not been uploaded

If only Company A has been uploaded, this page prompts for a second file rather than showing an empty comparison. Uploading a file into the Company B box on the Home page, at any point in the session, makes this page available immediately without needing to re-upload Company A.

CHAPTER 9

Generating Your Financial Report

The Financial Report page turns everything on screen into a polished, downloadable PDF, ready to be shared with a client, a lender, a manager or anyone else who needs the analysis in a document rather than a browser tab.



The Financial Report page, with the Generate PDF Report button.

What the report contains

Pressing Generate PDF Report produces a multi-page document covering the uploaded company's key figures, the full set of calculated ratios with their colour-coded interpretation, the multi-year trend where applicable, and a written overall assessment. If a second company has also been uploaded, an additional appendix is added automatically, comparing both companies' financial figures and every ratio side by side on the same page layout used elsewhere in the report.

Downloading the report

Once generation finishes, a Download PDF Report button appears in its place. The file downloads directly through the browser like any other download, with a filename built from the company name so that reports for several different companies do not get mixed up in a downloads folder.

REGENERATING AFTER A CORRECTION

If a figure is corrected on the Home page, or the currency or benchmark settings are changed, the report is not updated automatically. Returning to the Financial Report page and pressing Generate PDF Report again produces a fresh document reflecting the latest figures.

Currency and Display Settings

A currency selector sits in the sidebar, above the two upload boxes, and applies to every figure shown anywhere in the tool: the review screen, both dashboards, the comparison page and the generated PDF report.

Changing the currency symbol

Selecting a different currency from the dropdown changes only the symbol used to display each figure; it is a labelling choice rather than a conversion, since the tool has no way of knowing what exchange rate applies to a particular set of accounts on a particular date. If the uploaded figures are already in a specific currency, choosing the matching symbol here simply makes every figure in the tool read correctly; no figures are recalculated or converted when the currency is changed.

Light and dark mode

The small circular button at the far right of the top navigation bar switches the whole application between a light, ivory colour scheme and a dark navy one. Both themes use the same layout, the same colour coding for ratios, and the same level of detail; the choice between them is purely about comfort in whatever lighting the tool is being used in.

CHAPTER 11

Saving and Restoring Your Session

Because nothing uploaded is ever sent to a server, everything typed and uploaded lives only in the current browser tab. That keeps the data private, but it also means a browser refresh, or an accidental click that reloads the page, clears every hand-typed correction made on the Home page. The Save / restore your session panel at the very top of the sidebar exists to protect against exactly that.

Saving a snapshot

Opening the panel and pressing Download session snapshot saves a small .json file containing both companies' figures, their names and the current currency choice. This is worth doing after any significant round of hand-typed corrections, particularly on a file that needed several figures adjusted on the Home page.

Restoring a snapshot

If the page is ever refreshed or reopened, the same panel offers a Restore a saved session (.json) uploader. Selecting a previously downloaded snapshot file restores every figure, name and currency setting from the moment it was saved, avoiding the need to re-upload the original file and redo any manual corrections from scratch.

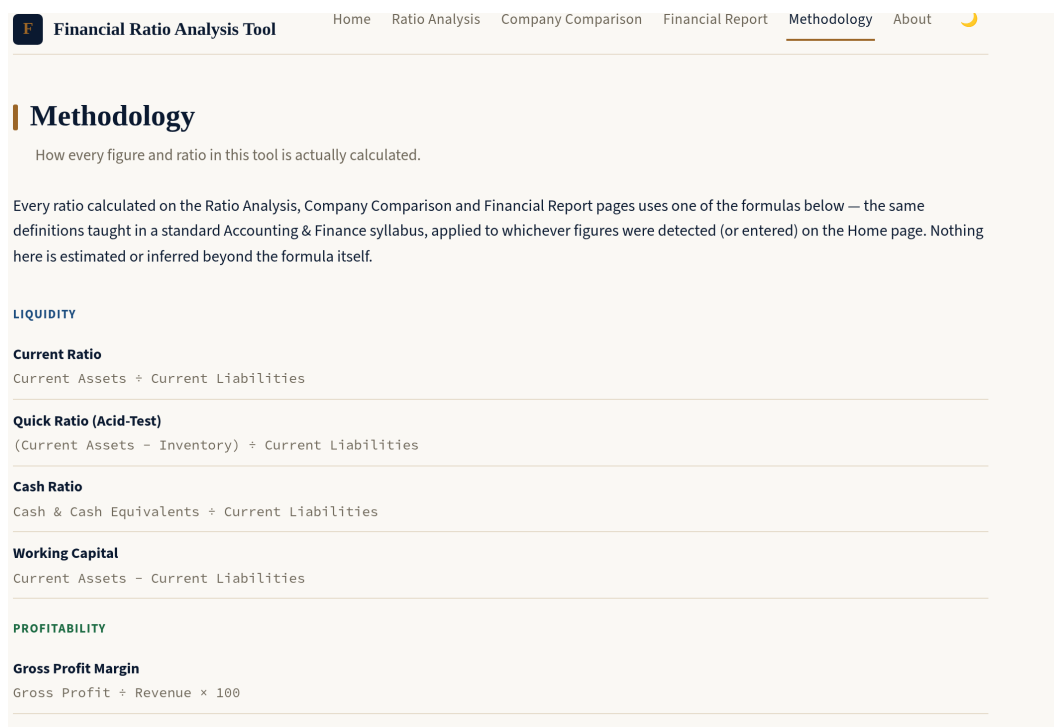
THIS IS A LOCAL BACKUP, NOT CLOUD STORAGE

The snapshot file is a plain download saved to the computer being used, in the same way any other file download works. There is no account to sign into and no copy kept anywhere else; keeping track of the downloaded file is the only way to restore it later.

CHAPTER 12

The Methodology Page

The Methodology page is a complete reference of every formula the tool uses, grouped into the same five categories that appear throughout the rest of the application: Liquidity, Profitability, Efficiency, Leverage and Returns.



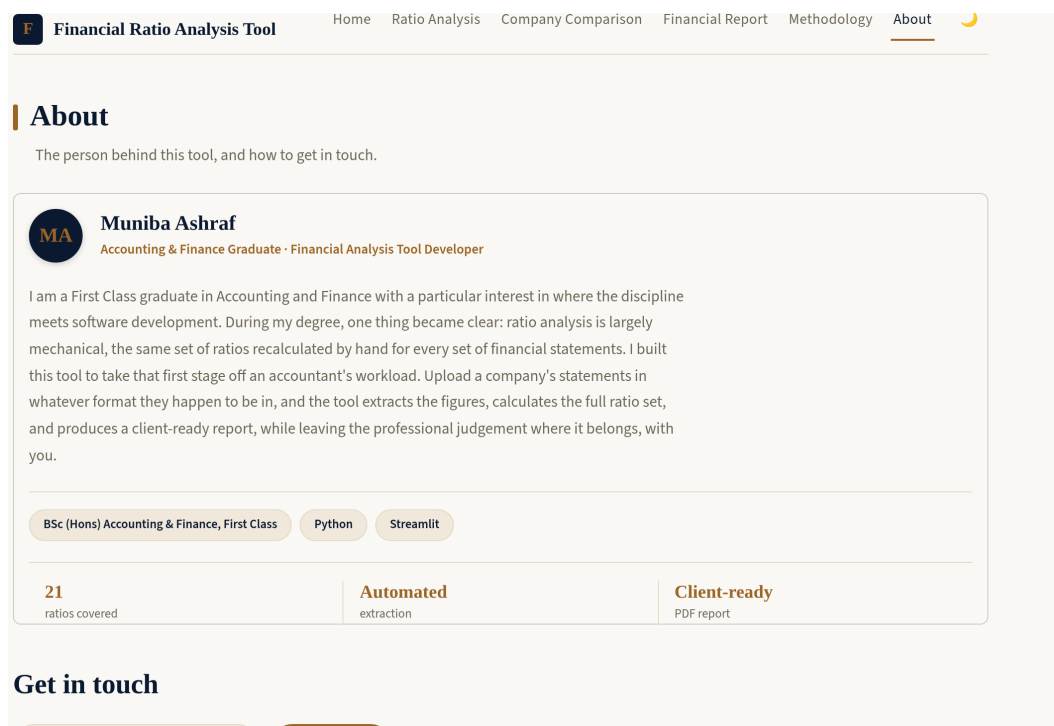
The Methodology page, listing every ratio's formula by category.

Every formula shown here is the same standard definition taught in accounting and finance study, applied exactly as written to whichever figures were detected, or entered by hand, on the Home page. Nothing is estimated or inferred beyond the formula itself; if a figure a formula depends on was not found in the uploaded file, that ratio is left unavailable rather than approximated. Appendix B, at the end of this manual, repeats every formula from this page in a single printed table for quick reference away from the screen.

CHAPTER 13

About This Tool

The About page introduces the person behind the tool and the reasoning that shaped it, and gives a way to get in touch with questions, feedback or a bug report.



The About page, with background on the tool's author and how to make contact.

It is worth a visit on a first use, if only to understand the background the tool was built from: a genuine accounting and finance qualification paired with hands-on development, rather than a purely generic calculator built without that grounding. Any question this manual does not answer is best directed through the contact details listed on that page.

Glossary of Key Terms

A short reference of terms used throughout this manual and the tool itself, in plain language.

Liquidity: How easily a company can meet its short-term obligations, the bills and debts due within the next year, using the assets it can quickly turn into cash.

Profitability: How much of a company's revenue is retained as profit, at various stages: gross profit, operating profit and net profit.

Efficiency: How effectively a company turns its assets, inventory and trading relationships into sales and cash, measured in turnover and days figures.

Leverage (Gearing): How much of a company's operations are financed by debt rather than by its own equity, and how comfortably it can service that debt.

Returns: How much profit a company generates relative to the capital invested in it, whether measured against equity, total assets or capital employed.

Current Assets / Liabilities: Assets expected to be converted to cash, or liabilities due to be settled, within twelve months.

Working Capital: The cash cushion left over after current liabilities are covered by current assets; a simple, absolute measure of short-term financial headroom.

EBIT: Earnings Before Interest and Tax, also called operating profit; profit from the core business before financing costs and tax are deducted.

Equity: The residual value of a company belonging to its owners, once every liability has been accounted for.

Turnover (in an efficiency context): How many times over a year an asset, such as inventory or receivables, is used and replaced; not to be confused with revenue, which some accounts also label turnover.

Benchmark: A comparison figure, typically an industry average, that a company's own ratio is judged against instead of, or alongside, the tool's general default range.

APPENDIX B

Quick Reference: All Ratios and Formulas

The complete set of formulas used throughout the tool, repeated here from the Methodology page for quick reference without needing to be at the screen.

Liquidity

Ratio	Formula
Current Ratio	$\text{Current Assets} \div \text{Current Liabilities}$
Quick Ratio (Acid-Test)	$(\text{Current Assets} - \text{Inventory}) \div \text{Current Liabilities}$
Cash Ratio	$\text{Cash \& Cash Equivalents} \div \text{Current Liabilities}$
Working Capital	$\text{Current Assets} - \text{Current Liabilities}$

Profitability

Ratio	Formula
Gross Profit Margin	$\text{Gross Profit} \div \text{Revenue} \times 100$
Operating Profit Margin	$\text{Operating Profit (EBIT)} \div \text{Revenue} \times 100$
Net Profit Margin	$\text{Net Profit} \div \text{Revenue} \times 100$

Efficiency

Ratio	Formula
Debtor (Receivables) Turnover	$\text{Revenue} \div \text{Accounts Receivable}$
Debtor Days	$(\text{Accounts Receivable} \div \text{Revenue}) \times 365$
Inventory Turnover	$\text{Cost of Sales} \div \text{Inventory}$
Inventory Days	$(\text{Inventory} \div \text{Cost of Sales}) \times 365$
Creditor (Payables) Turnover	$\text{Cost of Sales} \div \text{Accounts Payable}$
Creditor Days	$(\text{Accounts Payable} \div \text{Cost of Sales}) \times 365$
Asset Turnover	$\text{Revenue} \div \text{Total Assets}$

Leverage

Ratio	Formula
Debt to Equity	$\text{Total Debt} \div \text{Equity}$

Ratio	Formula
Debt Ratio	Total Debt ÷ Total Assets
Equity Ratio	Equity ÷ Total Assets
Interest Coverage Ratio	Operating Profit (EBIT) ÷ Interest Expense

Returns

Ratio	Formula
Return on Equity (ROE)	Net Profit ÷ Equity × 100
Return on Assets (ROA)	Net Profit ÷ Total Assets × 100
Return on Capital Employed (ROCE)	Operating Profit ÷ (Total Assets – Current Liabilities) × 100

BEFORE YOU GO

A Closing Note

Every figure entered into this tool is held only in the current browser session and is never written to a server or shared anywhere else; closing the tab clears it completely, and the Save / restore feature in Chapter 11 is the only way anything is kept between sessions.

The tool is built to remove the mechanical, repetitive part of ratio analysis, matching line items, applying formulas correctly and consistently, and presenting the result clearly, so that more time is left for the judgement a set of figures actually needs. A ratio, on its own, is never the whole story; it is a starting point for a conversation about a company's trend over time, its industry norms and its wider circumstances, not a final verdict in itself.

Thank you for using the Financial Ratio Analysis Tool. Any question this manual has not answered is best directed through the contact details on the About page, covered in Chapter 13.